TAX PLANNING & COMPLIANCE
Suggested Answers
March-April 2022

Answer to the Question # 1 (a) (i)

Section 52 of the Income Tax 1984 Ordinance ("Ordinance") emphasize to withhold taxes at the time of making payment. Hence, it is implied that for any payment to suppliers u/s 52 of the Ordinance, application of withholding taxes should be considered based on the prevailing rate applicable on that date. Here whether the income was exempted at the time of when the income was earned will not be considered unless the supplier is able to provide any exemption certificate.

Remedies available for the supplier:

a) Based on circumstances that the income was exempted at the time of when it was earned, the supplier can file an application for an exemption of withholding taxes to the National Board of Revenue under Proviso (b) of Rule 16 of the Income Tax Rules 1984. If NBR is satisfied and issue an exemption certificate, based on that Supplier can avoid the WHT.
b) In case Supplier does not get any exemption certificate from NBR, still supplier can adjust this WHT from its tax liability of the following year, because it is just an advance tax only, not a final tax.

Answer to the Question # 1 (a) (ii) (a)

Implication if WHT is applicable but the payment is made without any WHT u/s 57 of the Ordinance:

(i) Where a person required by or under the provisions of this Chapter to deduct, collect or pay to the credit of the Government tax, fails to so deduct, collect or pay, or having deducted or collected, fails to pay the tax in accordance with the provisions of this Chapter he or it shall:

  (a) without prejudice to any other consequences to which he or it may be liable, be deemed to be an assessee in default in respect of the tax ; and

  (b) in addition to such tax, pay an amount at the rate of two percent per month of such tax for the period commencing on the date following the expiry of the time within which it is to be paid under section 59 and ending on the date of the actual payment of the tax.

(ii) Where the Deputy Commissioner of Taxes in the course of any proceedings under this Ordinance finds any person, required by or under the provisions of this chapter to deduct, collect or pay to the credit of the Government tax, has failed to deduct, collect or pay the tax in accordance with the provisions of this chapter, shall, notwithstanding the provisions of section 137, take necessary action for realisation of such tax along with the additional amount payable under clause (b) of sub-section (1) from the person deemed to be an assessee in default under clause (a) of that sub-section

Answer to the Question # 1 (a) (ii) (b)

Implication if WHT is not applicable but the payment is made after deduction of WHT u/s 60 of the Ordinance:
Unauthorized deduction is prohibited as per the Ordinance. Subject to the provisions of the Ordinance, no person shall charge, withhold, deduct or collect any sum, directly or indirectly, as tax, and, where any sum is so charged, withheld, deducted or collected, it shall be paid in the manner provided in section 59

Answer to the Question # 1 (b)

(a) When there is no Double Tax Avoidance Agreement:
Any income by way of fees for technical services payable by a resident i.e., Zebra Ltd, which services have been utilized in Bangladesh, whether it's off-shore or on-shore, it would be deemed to accrue or arise in Bangladesh under section 18(5) of the Ordinance and would be included in the total income of non-resident company (Heed S.A.) and tax will be payable by them as per applicable rates.

(b) When there is a Double Tax Avoidance Agreement (DTAA):
In this case also, the income by way of fees for technical services payable by a resident i.e., Zebra Ltd, which services have been utilized in Bangladesh, whether it's off-shore or on-shore, it would be deemed to accrue or arise in Bangladesh under section 18(5) of the Ordinance. However, in this case inclusion of the same in the total income of non-resident company (Heed S.A.) would depend on whether Heed S.A. has a permanent establishment in

Bangladesh. In case, Heed S.A. do not have any permanent establishment in Bangladesh, as per the provision of DTAA, the amount will not be included in the total income chargeable to tax in Bangladesh subject to approval of the National Board of Revenue for applying no tax based on application filed u/s 56(2) of the Ordinance.

Answer to the Question # 2 (a)

As per section 46C of the ITO, 1984, income, profits and gains under section 28 from physical infrastructure facility, hereinafter referred to as the said facility, set up in Bangladesh between 01 July 2011 and 30 June 2019 (both days inclusive) shall be exempted from the tax payable under the ITO, 1984, for 10 years beginning with the month of commencement of commercial operation, and at the rate, specified therein. For the purpose of section 46C of the ITO, 1984, physical infrastructure facility includes renewable energy (e.g energy saving bulb, solar energy plant, windmill). Through the Finance Act, 2019, section 46CC was inserted newly, which contained almost same terms and conditions of section 46C of the ITO, 1984, except the following issues that are relevant to the question:

- physical infrastructure facility shall be set up in Bangladesh between 01 July 2019 to 30 June 2024;
- exemption rates over 10 years is a bit different from that of section 46C;
- renewable energy (e.g solar energy plant, windmill) has been included in physical infrastructure facility;

Despite the Company was incorporated on 01 March 2020 and first import was made on 01 June 2020, setting up of the first solar plant was completed on 01 January 2021 and tax holiday benefit provided under section 46CC of the ITO, 1984, may be explored. The physical infrastructure facility will be eligible for tax exemption under section 46CC of the ITO, 1984, if it is owned and managed by a company as defined in the Companies Act, 1994, with its registered office in Bangladesh and having a subscribed and paid-up capital of not less than Tk. 2 million on the date of commencement of commercial production. For availing of tax exemption under section 46CC of the ITO, 1984, application in the prescribed form as verified in the prescribed manner, is required to be made to NBR within 6 months from the end of the month of commencement of commercial operation (01 November 2021). Hence, we think that the Company is eligible to apply for exemption of tax under section 46CC of the ITO, 1984.

The major requirements for submission of application for approval of tax holiday scheme under section 46CC of the ITO, 1984, has been provided in rule 59AA of the ITR, 1984. The following information is required to be provided in the application form:

- Name of the company;
- Date of incorporation of the company;
- Location of its registered office (with full address);
- Location of the physical infrastructure facility;
- Tax Identification Number (TIN) and name of the Zone of Commissioner of Taxes and the Circle of DCT under whose jurisdiction the company is assessed or will be assessed;
- Date of opening of the letter of credit;
- Date or dates on which the physical infrastructure facility for which approval is sought started (a) trial operation: (b) commercial operation;
- Date on which the issued, subscribed and paid-up capital of the company reached the figure of Tk. 2 million;
- The present paid up capital of the company;
- Authorized capital of the company;
- Amount of share capital issued;
- Amount of investment involved in setting up and running the physical infrastructure facility for which approval is sought;
- Minimum number of employees required to be engaged;
- Whether the physical infrastructure facility uses electric energy or gas (the date on which the electricity or gas connection was physically given should be mentioned);
- VAT Registration Number/ Turn over tax Number (if required);
- Exact nature of business of the physical infrastructure facility;
- Names, addresses and TINs of the Managing Director and Directors of the company with particulars of their holdings and interest in the company and other companies or enterprises.

In addition to the above, NBR may require the following further information through inspection to be carried out by the DCT concerned:

- Project approval from BIDA;
- Permission from BERC;
- IRC;
- Trade license;
- Registers/Books of Accounts;
- Opinion of the DCT concerned.

Answer to the Question # 2 (b) (i)

Effective cost of the car

	Amount (Tk.)
Cost including 5% VAT and 5% WHT on Net-off VAT	16,500,000
This means base value for VAT and WHT is same	
Hence VAT + WHT = (5%+5%)	10%
Value without VAT and WHT [1.65 million /(1+10%)]	15,000,000
VAT @ 5%	750,000
Effective cost of the car	**15,750,000**

Answer to the Question # 2 (b) (ii)

Net WHT

Assessable value	5,000,000
Tax paid at port point at the time of import @ 5%	250,000
Gross WHT on the car value without VAT @ 5%	750,000
Less: Tax paid at port point adjusted u/s 52 (c)	250,000
Net WHT	**500,000**

Answer to the Question # 2 (b) (iii)

Depreciation charge for the first year

Effective cost of the car	15,750,000
Deemed Actual cost under paragraph 11(6)(a) of the Third Schedule of the Ordinance	2,500,000
First year depreciation @ 20%	**500,000**

Answer to the Question # 3 (a)

Total Income of the Firm

Particulars			**Amount (Tk.)**	**Amount (Tk.)**
Net profit as per Income statement				**5,800,000**
Add: Inadmissible expenses				
Distribution to Partners:				
Interest on capital:	A:	250,000		
	B:	125,000		
	C:	125,000	500,000	
Withdrawals	A:	150,000		
	B:	350,000		
	C:	300,000	800,000	
Commission:	A:	100,000	100,000	1,400,000
Donations to Football club (being unapproved institution)				200,000
Total income of the Firm				**7,400,000**

Answer to the Question # 3 (b)

Tax liability of the firm

Income Slabs	Actual income	Rate	Tax amount (Tk.)
On 1st Slab	300,000	0%	-
On next	100,000	5%	5,000
On next	300,000	10%	30,000
On next	400,000	15%	60,000
On next	500,000	20%	100,000
On Balance	5,800,000	25%	1,450,000
Total Tax liability of the firm	7,400,000		**1,645,000**

Answer to the Question # 3 (c)

Distribution of firm's income among the partners

Particulars	Partners				Amount left for distribution
	A	B	C	Total	
Amounts to be distributed					7,400,000
Interest on capital	250,000	125,000	125,000	500,000	6,900,000
Withdrawals	150,000	350,000	300,000	800,000	6,100,000
Commission	100,000	-	-	100,000	6,000,000
Remaining income	3,000,000	1,500,000	1,500,000	6,000,000	-
Total amount distributed	**3,500,000**	**1,975,000**	**1,925,000**	**7,400,000**	

Note: For the purpose of tax, capital gains shall not be considered share of income of the partners as it is exempted as per Para 18 of the Sixth Schedule Part A

Answer to the Question # 3 (d)

Total income of partners

Heads of Income	A	B	C
Income from interest and securities	300,000	200,000	100,000
Income from House property less repairs 25%	-	675,000	-
Agricultural income less 60% cultivation cost	240,000	160,000	480,000
Income from partnership firm	3,500,000	1,975,000	1,925,000
Income from other sources	300,000	350,000	400,000
Total income of the partners	**4,340,000**	**3,360,000**	**2,905,000**

Answer to the Question # 3 (e)

Net Tax liability of the partners

Income slabs		Rates	Tax amount (Tk.)		
			A	B	C
On 1st Slab	300,000	-	-	-	-
On 2nd Slab	100,000	0	5,000	5,000	5,000
On 3rd Slab	300,000	0	30,000	30,000	30,000
On 4th Slab	400,000	0	60,000	60,000	60,000
On 5th Slab	500,000	0	100,000	100,000	100,000
On Balance		0	685,000	440,000	326,250
Total tax			**880,000**	**635,000**	**521,250**
Less: Tax rebate on firm's income			**709,677**	**373,251**	**345,407**
Net Tax liability			**170,323**	**261,749**	**175,843**

Answer to the Question # 4

Brown Bangladesh Ltd should take the machine on borrowed fund instead out of own funds or on lease as the Net Present Value in that case is highest. The details are presented below:

Option-1:Purchasing Machine out of own fund

Particulars	*Amount in Tk.*					
	Year 0	*Year 1*	*Year 2*	*Year 3*	*Year 4*	*Year 5*
Tax Profit before Interest and tax (PBT)	-	49,800,000	57,180,000	62,842,000	69,059,800	75,890,020
Less: Tax @ 30% of PBT		14,940,000	17,154,000	18,852,600	20,717,940	22,767,006
Profit After Tax		34,860,000	40,026,000	43,989,400	48,341,860	53,123,014
Add: Tax depreciation		2,800,000	520,000	468,000	421,200	379,080
Cash Inflows after tax	-	37,660,000	40,546,000	44,457,400	48,763,060	53,502,094
Add: Scrap Value						1,000,000
Less: Cash	(8,000,000)					
Outflow						
Net cash flow	(8,000,000)	37,660,000	40,546,000	44,457,400	48,763,060	54,502,094
Present Value Factor @ 12%	1.0000	0.8929	0.7972	0.7118	0.6355	0.5674
Present Value	(8,000,000)	33,626,614	32,323,271	31,644,777	30,988,925	30,924,488
Net Present Value	**151,508,075**					

Option-2: Purchasing Machine out of borrowed fund

Particulars	*Amount in Tk.*					
	Year 0	*Year 1*	*Year 2*	*Year 3*	*Year 4*	*Year 5*
Tax Profit before Interest and tax (PBT)	-	49,800,000	57,180,000	62,842,000	69,059,800	75,890,020
Less: Interest (80,00,000 x 9%)		(720,000)	(720,000)	(720,000)	(720,000)	(720,000)
PBT		49,080,000	56,460,000	62,122,000	68,339,800	75,170,020
Less: Tax @ 30% of PBT		14,724,000	16,938,000	18,636,600	20,501,940	22,551,006
PAT		34,356,000	39,522,000	43,485,400	47,837,860	52,619,014
Add: Tax depreciation		2,800,000	520,000	468,000	421,200	379,080
Cash Inflows after tax		37,156,000	40,042,000	43,953,400	48,259,060	52,998,094
Add: Scrap Value						1,000,000
Less: Cash Outflow						(8,000,000)
Net cash flows		37,156,000	40,042,000	43,953,400	48,259,060	45,998,094
Present Value (PV) Factor @ 12%	1.0000	0.8929	0.7972	0.7118	0.6355	0.5674
Present Value	-	33,176,592	31,921,482	31,286,030	30,668,633	26,099,319
(Net Cash Flow x PV Factor)						
Net Present Value	**153,152,056**					

Option 3: Take Machine on lease

Particulars		*Amount in Tk.*				
Cash Outflow		*Year 1*	*Year 2*	*Year 3*	*Year 4*	*Year 5*
PBT		49,800,000	57,180,000	62,842,000	69,059,800	75,890,020
Lease rent		(1,200,000)	(1,200,000)	(1,200,000)	(1,200,000)	(1,200,000)
PBT		48,600,000	55,980,000	61,642,000	67,859,800	74,690,020
Less: Tax @ 30% of PBT		14,580,000	16,794,000	18,492,600	20,357,940	22,407,006
Net cash flows		34,020,000	39,186,000	43,149,400	47,501,860	52,283,014
Present Value (PV) Factor @ 12%	1.0000	0.8929	0.7972	0.7118	0.6355	0.5674
Present Value		30,376,458	31,239,079	30,713,743	30,187,432	29,665,382
Net Present Value	**152,182,094**					

Working note:

1.0 Profit before interest and tax as per Tax Book

Particulars	*Amount in Tk.*					
	Basis	*Year 1*	*Year 2*	*Year 3*	*Year 4*	*Year 5*
Turnover excluding VAT	10% increase	**300,000,000**	**330,000,000**	**363,000,000**	**399,300,000**	**439,230,000**
Book profit	15%	**45,000,000**	**49,500,000**	**54,450,000**	**59,895,000**	**65,884,500**
Add:						
Book depreciation (20% on 8 million)		1,600,000	1,600,000	1,600,000	1,600,000	1,600,000
Promotional expenses	2.5%	7,500,000	8,250,000	9,075,000	9,982,500	10,980,750
Less:		**9,100,000**	**9,850,000**	**10,675,000**	**11,582,500**	**12,580,750**
Tax depreciation		2,800,000	520,000	468,000	421,200	379,080
Allowable promotional expenses	0.5%	1,500,000	1,650,000	1,815,000	1,996,500	2,196,150
		4,300,000	**2,170,000**	**2,283,000**	**2,417,700**	**2,575,230**
Tax profit before interest and tax		**49,800,000**	**57,180,000**	**62,842,000**	**69,059,800**	**75,890,020**

2.0 Tax depreciation

Cost/Written down value		**8,000,000**	**5,200,000**	**4,680,000**	**4,212,000**	**3,790,800**
Initial depreation	25%	2,000,000	-	-	-	-
Normal Depreciation	10%	800,000	520,000	468,000	421,200	379,080
Total depreciation		**2,800,000**	**520,000**	**468,000**	**421,200**	**379,080**
Written down value		5,200,000	4,680,000	4,212,000	3,790,800	3,411,720

Answer to the Question # 5 (a)

At first, we need to rearrange the data set in ascending order

Sl. No.	Company	Last 3 year's weighted average mark-up
01.	XYZ Ltd.	1.6%
02.	ABC Ltd	2.7%
03.	HIJ Ltd.	5.4%
04.	CDE Ltd.	6.9%
05.	QRS Ltd.	7.8%
06.	MOQ Ltd.	8.1%
07.	LMO Ltd.	9.5%
08.	ZAB Ltd.	12.7%
09.	DGF Ltd.	14.2%

Total number of data set = 9

30th Percentile is = 9*30/100 = 2.7

Since this is not a whole number, the mark-up of 30th percentile shall lie in the number succeeding the above number i.e., mark-up under Sl. No. 3 of the reconstructed table, which is 5.4%

70th percentile is = 9*70/100 = 6.3
Since this is not a whole number, the mark-up of 70th percentile shall lie in the number succeeding the above number i.e., mark-up under Sl. No. 7 of the reconstructed table, which is 9.5%

Therefore, the arm's length range between 30th percentile to 70th percentile is 5.4% – 9.5%.

Answer to the Question # 5 (b)

(a): Since 7% mark-up charged by Cupid Malaysia falls within this range of 5.4% – 9.5%, it is deemed to be the arm's length price and no adjustment is required.

(b) 10% mark-up shall not fall within this range of 5.4% – 9.5%, hence, the median need to be calculated. Median = Total number of data set X 50/100 = 9*50/100 = 4.5. Since this is not a whole number, the mark-up of median value shall lie in the number succeeding the above number i.e., mark-up under Sl. No. 5 of the reconstructed table, which is 7.8%. Therefore, the arm's length mark-up is 7.8%. Accordingly, necessary adjustment needs to be made.

Answer to the Question # 6

Computation of input tax credit (ITC) available for Montreux Ltd. for the month of January 2022:

SI. No.	Particulars	VAT Paid (Tk.)
i.	Purchase of sugar for using as a raw material [Due to space crisis, 50% goods are still with the supplier [Note-1]	150,000
ii.	VAT paid against product testing cost done by BSTI, deposited by Montreux Ltd through treasury challan [Note-2]	Nil
iii.	VAT paid in in cash other than bank guarantee [Note-3]	675,000
iv.	VAT paid on Transport services for delivering products to distributors [Note-4]	80,000
v.	Payment made to supplier of packaging materials in cash [Note-5]	150,000
Total Input Tax Credit available for the month of January 2022		**10,55,000**

Note-1: As per section 46(1)(gha), input tax credit is not allowed when the relevant goods are not under the possession of the registered person i.e. Montreux Ltd.

Note-2: Input tax credit is not allowed unless there is a proper VAT Challan (i.e., Mushak 6.3). In this case, treasury challan will not be treated as VAT challan for the purpose of availing input tax credit.

Note-3: VAT on Bank Guarantee is not allowed as Input tax credit unless it is paid upon final assessment. Hence, only 75% i.e., the amount paid in cash will be allowed as input tax credit.

Note-4: In case of transport service for carrying goods, only 80% is allowed as Input tax credit. Here VAT amount paid is Tk. 11,00,000/1.15=100,000 and 80% of Tk. 100,000 = Tk. 80,000

Note-5: As per section 46(1)(ka), input tax credit is not allowed if the payment exceeding Tk. 1 lac is paid other than banking channel. Here VAT amount paid is Tk. 23,00,000/1.15=300.000. Out of 3,00,000 it will be eligible for input tax credit only 50% as this was the amount paid through banking channel. 50% of Tk. 3,00,000 = Tk. 1,50,000

Answer to the Question # 7

White Ltd.
Computation of net VAT payable for the month of January 2022

Particulars	Note	Base Value	VAT
		Amount (Tk.)	Amount (Tk.)
SUPPLY - OUTPUT TAX:			
For supply of goods at standard rate		9,000,000	1,350,000
For supply of goods on installments at standard rate	**1**	100,000	15,000
For supply of goods at "0" rate		6,900,000	-
For supply of service at standard rate		1,200,000	180,000
Import of service (testing fees by foreign lab)- output VAT	**2**	3,000,000	450,000
Total Output Tax (A)			**1,995,000**
SUPPLY - INPPUT TAX			
Standard Rated Goods (import)		2,304,000	345,600
Standard Rated Goods (local)	**3**	1,600,000	240,000
Advertisement services	**4**	1,000,000	150,000
Transport service 80% rebateable		200,000	24,000
Input tax credit on import of service (testing fees by foreign lab)- output VAT	**2**	3,000,000	450,000
Total Input Tax (B)			**759,600**
INCREASING ADJUSTMENTS (VAT)			
VAT deducted against suppliers payment			155,000
Money received against cancellation of contract	**5**	500,000	75,000
Total Increasing Adjustment (C)			230,000
DECREASING ADJUSTMENTS (VAT)			
VAT deducted by service recipient			330,000
Credit note issued against market return		600,000	90,000
Advance tax (VAT) paid at port point			69,120
Total Decreasing Adjustment (D)			489,120
NET VAT PAYABLE			
Net payable from the above (A+C-B-D)			976,280
Break-up of deposits January 2022:			
Deposit for Import of Service (Testing fees) at the time of remittance	**2**	450,000	
Other normal deposit after the month close		526,280	
		976,280	

Note-1: On instalment sale, VAT is payable to the extent the payment is received
Note-2: Under reverse chanrge mechanisim, for import of service both output VAT and Input VAT entry has to be recorded u/s 46(1)(kha) of the VAT and SD Act 2012
Note-3: Input tax credit is allowed to the extent the goods are received in the registered premises
Note-4: For Advertising services, input tax credit is not depended on when it was paid.
Note-5: For cancellation of contract any compensation received shall be considered VAT able. However, payment of compensation money to vendor shall not attract White's book but will attract the Vendor's book and therefore the Vendor should pay VAT on the compensation money received by them.

Answer to the Question # 8 (a)

The salesman may perceive that by giving no VAT challan, he could avoid the VAT of Tk. 27,000 [207,000*(15/115)].
This would be wrong perception. Whatever amount recorded as sale, whether Tk. 207,000 or 190,000, as per the VAT and SD Act 2012, it will be presumed that VAT is included there. Hence, for this transaction VAT Authority can raise a demand of [190,000 x 15/115] = 24,783 plus interest and penalties. Hence, whatever price the product is sold, it is to be always considered that VAT is included there and therefore it cannot be avoided. On the other hand, if the transaction was not recorded under sales that will also be revealed by the VAT authority upon input/output analysis during review/audit by VAT authority. Accordingly, for any such huge unreconciled gap, demand will be raised for the avoided VAT plus interest and penalties.

Answer to the Question # 8 (b)

(i) **Application of VAT on "Ride Sharing Service":**

Particulars	Amount (Tk.)
Gross Revenue	5,000,000
Allocation of Revenue: Motorcycle owner (70%) i.e., 5,000,000 x 70% X Ltd (30%) i.e., 5,000,000 x 30%	 3,500,000 1,500,000
Application of VAT on Motorcycle owners on Tk. 3,500,000 VAT is exempted being private service as per para 6(c) of the 2nd part of First Schedule of VAT & SD Act 2012	Nil

(ii) **Projected VAT liability of X Ltd. for the month of April'22:**

Particulars	Base Value for VAT (Tk.)	VAT amount (Tk.)
Application of VAT on X Ltd. as per services defined under 3rd part of Third Schedule Table-1 of VAT & SD Act 2012: VAT Rate **5%** Base value for VAT: Applying VAT factor 1,500,000 x (100 ÷ (100+5) VAT amount 5% of Tk. 1,428,571	 1,428,571	 71,429
Projected VAT liability of X Ltd. for the month of April 2022		**71,429**

Answer to the Question # 9 (a)

Procurement of personalized pens for the purpose of carrying out promotional campaign is a service and may fall under the definition of "input" provided in section 2 of the VAT & SD Act, 2012. If such procurement of service does not qualify to be included in input part of Mushak 4.3, the restriction imposed under section 46 (1) on claiming input tax credit will be applicable.

As a manufacturer, X Pharmaceuticals Ltd. is required to submit input-output coefficient in Mushak 4.3. Form Mushak 4.3 contains 2 major parts – inputs and value addition. Generally, promotional expenditure, such as gift items, is shown under value addition part. Hence, items under value addition part is not considered as inputs. As per section 46 (1), VAT paid on inputs or goods not shown in input-output coefficient will not be eligible for input tax credit. The said section also provides that credit for input tax paid against output VAT on taxable supply in the process of economic activity is allowed.

Answer to the Question # 9 (b)

According to the definition of "input", capital machinery will be treated as input. Section 46 of the VAT & SD Act, 2012, provides that a registered person may claim credit for input tax paid against output VAT on taxable supplies in the process of economic activity. There are some conditions to be fulfilled for claiming such input tax credit. Letting out capital machinery is a taxable supply.

The services titled "Enterprise letting out plant or capital machinery" has been assigned service code S021.00. As explained in relevant SRO, "Enterprise leasing out plant or capital machinery" means a person, enterprise or organization which lets other person, enterprise or organization to use plant or capital machinery in exchange for money. Service code S021.00 has not been included in the 3rd schedule of the VAT & SD Act, 2012, but 15% VAT is required to be deducted at source as per the relevant SRO. It means that B Ltd. will deduct output VAT on capital machinery letting out service. Hence, A Ltd. will not be able to make adjustment of input VAT paid for purchase of capital machinery and will have to carry forward and claim refund, subject to fulfillment of the specified conditions.

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